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IN THE FOURTH DISTRICT COURT

IN AND FOR UTAH COUNTY, STATE OF UTAH

LD III, LLC, Petitioner, v. MAPLETON CITY, Respondent.	**OPPOSITION TO LD III'S MOTION FOR SUMMARY JUDGMENT** **MOTION FOR SUMMARY JUDGMENT** Case No. 170401683 Judge James Taylor

RELIEF REQUESTED

LD III attempts to claim the benefits of a zoning designation that was revoked a decade ago and the rights of a Development Agreement from 2003 that LD III was never made a party to or assignee of. In so doing, LD III provides a history that is incomplete to the point of being misleading, glosses over the substantive issues with its claims, ignores the key provisions of the Development Agreement regarding assignment, and avoids discussing the myriad procedural problems with its claims. Because LD III's claims are untimely, procedurally improper, and substantively unfounded, the City asks the Court pursuant to rule 56 of the Utah Rules of Civil Procedure to deny LD III's motion and instead grant judgment in favor of the City.

INTRODUCTION AND BACKGROUND

The one constant throughout the fifteen-year development of the Preserve is that the City has always supported the property rights of whatever entity owned the Preserve Property at that time. In 2003, the City authorized up to 136 units on the Property and granted transferable development rights ("TDRs") that can be used to increase the allowable density in a development for the benefit of Suburban Land Reserve; in 2005–2007 the Property exchanged hands, and as requested by the new owner—the Preserve at Mapleton Development Company ("Preserve at Mapleton"—the City rezoned the property to PRC-4 and limited its density to 92 units; and finally in 2017, the City once again attempted to rezone the property for the benefit of the new owner and developer of the Preserve—LD III and Balton Development. However the 2017 rezone was overturned by a referendum vote. The City has consistently worked with the owner of the Preserve Property to achieve a development that satisfies the City's requirements and standards while also allowing the owner the freest use of its property possible. To do so, the City has executed two development agreements, rezoned the Property three times, and approved several plans for development. Yet the Preserve remains largely undeveloped.

A new dispute has arisen regarding the continued application of a Development Agreement entered into between Suburban Land Reserve—not a party to these proceedings—and the City in 2003, and whether the current owner of the Preserve Property, LD III, is entitled to the benefits of that Development Agreement. Further, there is also a dispute regarding the status of the City's previous rezoning of the Preserve Property to allow for the use of TDRs to increase the density allowed on the Preserve.

Regarding the Development Agreement, LD III's claims are untimely and are barred due

to their or their predecessor-in-interest's participation and acquiescence in the City's decision to rezone the Preserve Property in 2006 and 2007. LD III cannot, after sitting by for a decade, come back now to assert that the City's actions have deprived them of their contractual rights. The statute of limitations has run and the time to challenge for breach of contract has expired. Further, the plain language of the Development Agreement provides that the only entities that are entitled to claim its benefits are assignees that have been approved of by the City or entities that are related to Suburban Land Reserve. LD III meets neither of these required criteria. Accordingly, even if LD III's contractual claims were not barred, LD III has no right to assert any claims based on the 2003 Development Agreement with Suburban Land Reserve.

As to the status of the TDR receiving site ("TDR-R") overlay zone that the City first applied to the Preserve Property in 2003, LD III's claims are again both procedurally infirm and substantively baseless. At the request of previous owners—requests made in writing—the City made several official decisions regarding the continued application of the TDR-R zoning to the Preserve Property. These decisions are governed by the Utah Municipal Land Use, Development, and Management Act, which bars any challenge to a land use regulation that is not brought within 30 days of the decision. Because LD III's claims are, in effect, a challenge to the City's land use decisions they are now barred. As a substantive matter, the TDR-R zoning did not survive the City's rezoning of the Preserve Property in 2006 and 2007. The imposition of the PRC-4 zone, with its express limitation on density, and the amendment of the City's official zone map to remove the TDR-R zone from the Preserve Property acted as a repeal of the prior zoning. Accordingly, all of LD III's claims are procedurally barred and substantively flawed, and the City is entitled to judgment as a matter of law on all of LD III's claims.

RESPONSE TO LD III'S STATEMENT OF UNDISPUTED FACTS

The disputes and objections raised by the City to LD III's statement of facts generally consist of objections to LD III's attempt to downplay or omit relevant, material facts related to its claims. The City would note that the Parties had attempted to reach a stipulation as to the material facts of the case, but LD III discontinued discussions regarding that stipulation after the City required a more complete statement of the facts and history of the Preserve Property.

7. *The Development Agreement states it is binding on the successors and assigns of Suburban Land Reserve.*

Response: LD III's characterization of the rights of successors and assigns of the Development Agreement is incomplete and misleading. Paragraph 19 of the Development Agreement does provide, "This Agreement shall be binding on the successors and assigns of Owner [Suburban Land Reserve]." Exhibit 1, Development Agreement ¶ 19. That paragraph continues by discussing the process through which "an **approved** purchaser of the Project or any portion thereof" takes on the obligations of the Development Agreement. Exhibit 1 ¶ 19 (emphasis added). LD III omits entirely any discussion of paragraph 10 of the Development Agreement, entitled "Assignment of Agreement." Exhibit 1 ¶ 10. That paragraph provides, "Owner's rights under this Agreement **shall be personal to Owner** and shall only run with the land so long as Owner or a company which is affiliated with or under common ownership and control of Owner shall own and be the Owner of the Property. In the event that Owner intends to sell the Property or any portion thereof to any other party, Owner shall advise City of such intention. **Only upon the express prior written approval by the City, shall any rights of Owner with respect to the potion of the Property being sold be deemed transferred to the**

new owner thereof." Exhibit 1 ¶ 10 (emphases added).

8. *The Development Agreement states "public notice of this Agreement shall be recorded immediately as a covenant running with the Property herein described ...."*

Response: Again, LD III's statement is incomplete and misleading. Paragraph 21 of the Development Agreement provides that after the rezoning was finalized, "this Agreement or a memorandum providing public notice of the existence of this Agreement shall be recorded immediately as a covenant running with the Property herein described **in order to put prospective purchasers or other interested parties on notice as to the terms and provisions hereof.**" Exhibit 1 ¶ 21 (emphasis added). LD III again omits paragraph 10, which provides in part that "Owner's rights under this Agreement **shall be personal to Owner** and **shall only run with the land so long as Owner or a company which is affiliated with or under common ownership and control of Owner shall own and be the Owner of the Property**." Exhibit 1 ¶ 10 (emphases added). The Development Agreement was never recorded, and nothing referencing the Development Agreement was recorded until September 2008. Exhibit 3, Declaration of Sean Conroy ¶ 7; Exhibit 4, Recorded Documents Regarding MOU.

10. *On December 14, 2005, Suburban Land Reserve transferred the Preserve Development Property, along with water rights and TDRs, to Craig Thueson via a Special Warranty Deed*.

Response: LD III's Exhibit 4, the Special Warranty Deed conveying property between Suburban Land Reserve and Craig Thueson, does not purport to transfer any TDR certificates. The deed makes no reference to TDRs. The City's records show that Suburban Land Reserve received 77 TDR certificates and transferred 67 of those certificates to The Preserve at Mapleton and the other 10 to John May who has no connection to this lawsuit. Exhibit 3 ¶ 19 & Exhibit A.

11. *That same day, Craig Thueson transferred the Preserve Development Property, water rights and TDRs to The Preserve at Mapleton Development Company, LLC ("The Preserve at Mapleton") via a Special Warranty Deed*.

Response: Again, LD III's Exhibit 5, a Special Warranty Deed conveying property between Craig Thueson and The Preserve at Mapleton, does not purport to transfer any TDR certificates. The deed makes no reference to TDRs. The Preserve at Mapleton received 67 TDRs directly from Suburban Land Reserve. Exhibit 3 ¶ 19 & Exhibit A.

14. *As part of approving the transfer of the Development Agreement and approving the plats for a subdivision, Mapleton City changed the zoning of The Preserve property from A-2 to a PRC zone*.

Response: While the City does not dispute that the City changed the Preserve Property's zoning from A-2 (TDR) to PRC-4, LD III has omitted several key facts, including: (a) the rezoning was done at the express request of the Preserve at Mapleton; Exhibit 7, Application for Rezoning; (b) the rezoning took place between 2006 and 2007, with several steps, hearings, and ordinances involved, Exhibit 8, CC Meeting Minutes 5/17/06, Exhibit 9, Ordinance 2006-15, Exhibit 10, CC Meeting 7/8/07, Exhibit 11, Ordinance 2007-18; (c) the City and the Preserve at Mapleton entered into a Memorandum of Understanding in 2007 regarding the development and zoning of the Preserve Property, Exhibit 2, Memorandum of Understanding; (d) the text of the PRC zoning ordinance that was applied to the Preserve Property was drafted by the Preserve at Mapleton, Exhibit 2 ¶ 5, Exhibit 10, at 3–4, Exhibit 12, CC Staff Report 8/7/07, at 1–2; (e) the PRC zoning text that was proposed and adopted restricted development of the Preserve Property to 92 units and expressly prohibited any increase in density, Exhibit 11, at 5 (18.82D.110),

Exhibit 12, Attachment 2, at 5 (18.82D.110). The City addresses these events more fully below.

15. *On May 17, 2006, the Mapleton City Council approved a change of the zoning of the Preserve Development Property from A-2 to PRC-4 and the action was formalized as Mapleton City Council Resolution No. 2006-15*.

Response: Again, the City does not dispute that this event took place, but that LD III has omitted much of the relevant and material surrounding facts described more fully in the City's response to statement of fact 14.

16. *On December 6, 2006, The Preserve at Mapleton executed a promissory note and a Deed of Trust in favor of LD III, LLC ("LD, III"). The Deed of Trust encumbered the Preserve Development Property*.

Response: The City does not dispute that the Preserve at Mapleton executed the documents. Nothing in those documents references or incorporates an assignment of the Development Agreement or the TDR certificates that were issued to Suburban Land Reserve and transferred to the Preserve at Mapleton. Exhibit 13, Trust Deed Note; Exhibit 14, Trust Deed.

24. *Maps of the Preserve Development Property from Mapleton City show that the Preserve Development Property was designated A-2 (TDR-R) from 2003 until 2007.*

Response: As described by Sean Conroy, the Mapleton City Community Development Director, the official zoning maps of Mapleton City show as follows: "The maps dated 2003 and June 20, 2006, show that the Preserve Property was designated A-2 (TDR-R), meaning it was eligible for development with TDRs. The maps dated May 7, 2007, August 29, 2008, March 21, 2012, and February 2, 2017, show the Preserve Property zoned as PRC-4 with no TDR overlay, indicating that it was not eligible for development with TDRs." Exhibit 3 ¶¶ 23–25 & Exhibit B.

25. *The Mapleton City Ordinance for PRC zones specifically allows the use of TDRs to increase the density in PRC zone.*

Response: The PRC zone is designed to apply to individual developments in order to achieve a particular development theme, and it requires both a zoning text designed specifically for that development and a development agreement with the City. MCC § 18.82.010, 030, 150. The zoning ordinance must "indicate the total density of the project" and "that no new subdivision lots shall be permitted beyond that which was originally approved, for the purpose of increasing the density." MCC § 18.82.030(K). Likewise, the development agreement must "detail[] the entire project [and] the total amount of units or lots." MCC § 18.82.150. Thus, while the City's ordinance setting forth the guidelines for PRC zones generally provides that "TDRs may be used to increase the overall density," it is the development agreement and PRC zone text that applies to the specific development that governs the actual density allowed on the lot, including whether TDRs are necessary to achieve that density. The PRC-4 zoning ordinance that applies specifically to the Preserve Property provides that "[t]he total density allowed in the Preserve at Mapleton PRC-4 zone is ninety two (92) individual building lots and common area buildings. **No new subdivision lots shall be permitted beyond those originally approved for the purpose of increasing this density**." MCC § 18.82D.110 (emphasis added). Because the underlying density allowed on the Preserve Property under the City's general plan is two acres per lot, and because the Preserve Property encompasses 240 acres of property, no TDRs were or are necessary to develop 92 units, the maximum number of lots allowed under the current PRC-4 zone. Exhibit 15, CC Staff Report 5/3/17, at 4–5; Exhibit 16, CC Staff Report 6/7/17, at 2.

MAPLETON CITY'S STATEMENT OF ADDITIONAL UNDISPUTED FACTS

Because LD III's Statement of Undisputed Facts is missing crucial facts regarding the history of the Preserve Property, and because the City is also moving for summary judgment, the City below provides a complete recitation of all material, undisputed facts.

1. The Utah Code permits municipalities to adopt ordinances regarding the creation and use of "transferable development rights" or "TDRs" UTAH CODE § 10-9a-509.7. TDRs allow "a land owner in a designated sending zone to transfer land use rights from a designated sending zone to a designated receiving zone." *Id.* § 10-9a-103(60).

2. Mapleton City adopted a TDR ordinance in 1998, which provided that certain properties could be designated as "TDR Sending Sites" and receive a "TDR-S" overlay zone in addition to their base zoning status This requires the owner to grant a conservation easement or transfer the property to the City in order to prevent all future development on that property. Exhibit 17, Ordinance 98-36, §§ 18.90.040, 060; MCC § 18.76.040, 060.

3. In exchange, the owner would receive TDR certificates, commonly referred to simply as "TDRs", based on the size and zoning of the TDR Sending Site property. TDRs are a property right that can be bought and sold as any other property independently of the property for which they were granted. Exhibit 17, § 18.90.060; MCC § 18.76.060; Exhibit 3 ¶¶ 12–13.

4. TDRs grant the owner the right to increase the permitted density of a development. In effect, TDRs allow for a transfer of density rights from one property to another. And the TDRs used for a particular development do not need to come from the property sought to be developed. Exhibit 17 § 18.90.070; MCC § 18.76.070; Exhibit 3 ¶ 12–14.

5. In order to use TDRs, the property must be designated as "TDR Receiving Site"

on the City's official zoning map, meaning that the property has received "TDR-R" zoning in addition to its base zoning status. Exhibit 17 § 18.90.070(1)(a); MCC § 18.76.045

6. In 2003 Suburban Land Reserve, Inc. ("Suburban Land Reserve") owned approximately 245 acres of real property in Mapleton City ("Preserve Property"). Exhibit 1, ¶ A.

7. On May 7, 2003, Suburban Land Reserve entered into a Development Agreement with Mapleton City ("Development Agreement"). Exhibit 1.

8. The Development Agreement provides that approximately 76 acres out of the approximately 245.6 total acres owned by Suburban Land Reserve, defined as the "Upper Open Space" would be transferred to Mapleton City via quit-claim deed and re-zoned from CE-1 to CE-1 (TDR-S), meaning it was a Transferable Development Right sending site. Exhibit 1 ¶ 2.

9. Suburban Land Reserve further agreed that the Upper Open Space property would be conveyed to Mapleton City in exchange for TDRs "on a 5:1 ratio." Suburban Land Reserve and Mapleton City agreed that 15 units could have been built on the Upper Open Space property and therefore Suburban Land Reserve would be entitled to have 75 TDRs that could be transferred to the Preserve Property or any other property zoned to receive increased density from TDRs. Exhibit 1 ¶ 2.

10. Ultimately, Suburban Land Reserve received 77 TDRs for its transfer of the Upper Portion. Exhibit 3 ¶ 19.

11. In May 2003, Mapleton City zoned the remaining approximately 170 acres as A-2 (TDR-R), meaning it was a Transferable Development Right receiving site and could be developed with the use of TDRs. Exhibit 1 ¶ 2;

12. Under the A-2 zone, the maximum density allowed is one lot per two acres, which

would have permitted approximately 85 lots on the 170 acres. MCC § 18.28.050(A); Exhibit 15 at 4. With a TDR-R overlay and the use of TDRs, the density could be increased to one lot per one acre, doubling the maximum density. MCC § 18.76.070(B). The same density restrictions apply to the PRC zone that was later applied to the Preserve Property. Exhibit 15 at 4.

13. On December 14, 2005, Suburban Land Reserve transferred the Preserve Property and its water rights to Craig Thueson via a Special Warranty Deed. Exhibit 18, SLR-CT Deed.

14. The same day, Craig Thueson transferred the Preserve Property and the water rights to The Preserve at Mapleton Development Company, LLC ("Preserve at Mapleton") via a Special Warranty Deed. Exhibit 19, CT-PMDC Deed.

15. Also at that same time, Nathan Simpson, on behalf of the Preserve at Mapleton, applied for a rezoning of the Preserve Property from A-2 to PRC-4. No reference was made regarding the retention of the TDR-R overlay zoning. Exhibit 7.

16. Under this application, no TDRs would have been needed because the Preserve at Mapleton sought to develop 55 units on 111 acres, or one unit for every approximately two acres (the minimum density allowed without TDRs). Exhibit 7; Exhibit 15 at 4.

17. On December 21, 2005, the Mapleton City Council took up consideration of whether to approve the assignment of the Development Agreement to the Preserve at Mapleton. Exhibit 5, CC Meeting Minutes 12/21/05.

18. The City Council meeting minutes reflect that Suburban Land Reserve "had sold the property to Craig Theuson subject to City approval to the assignment as required under the Development Agreement, to build approximately 55 dwellings." Exhibit 5, at 1.

19. The City Council approved the transfer by voting to adopt a resolution. Exhibit 5

at 2. That resolution, numbered 2005-61, provides, "pursuant to section 10 of the Development Agreement the City has the right to grant or withhold its approval of a transfer of the Property," "Suburban has complied with certain other provisions of the Development Agreement, such as a transfer of certain lands to the City in exchange for Transferable Development Rights," "Suburban has agreed to sell its remaining interest in the Property ... to Craig Thueson subject to the approval of the City to said transfer," "the Preserve has agreed to purchase Suburban's remaining interest in the Property subject to the terms and conditions of the Development Agreement," "the City Council finds it is in the best interest of the City and its citizens for the remaining interest in the Property to be developed subject to the terms and conditions of the Development Agreement and subject to the further representations by Mr. Thueson and the Preserve that no more than 52 homes will be constructed on the Property," and that "the City Council approves the transfer of Suburban's remaining interest in the Property as further described in the foregoing documents ... [which] authorizations are subject to Mr. Thueson or the Preserve entering into an agreement with the City that no more than 52 homes will be built on the property." Exhibit 6, Resolution 2005-61, 1-2.

20. Suburban Land Reserve transferred 67 of its 77 TDRs to The Preserve at Mapleton Development Company. Exhibit 3 ¶ 19.

21. Nathan Simpson, on behalf of the Preserve Property, subsequently amended his rezoning application to ask for the rezoning to apply to additional property as part of a new development plan allowing for "102 lots on 246 acres, or a density of one dwelling unit per 2.4 acres." Exhibit 20, PC Staff Report 4/13/06, at 2. Again, no TDRs would have been needed because the density was over the minimum of one unit per two acres.

22. On May 17, 2006, the Mapleton City Council rezoned the Preserve Property from A-2 (TDR-R) to PRC-4, and the action was formalized as Mapleton City Council Resolution No. 2006-15. Exhibit 8; Exhibit 9.

23. On December 6, 2006, The Preserve at Mapleton executed a Trust Deed Note and a Deed of Trust in favor of LD III, LLC. ("LD, III"). While the Deed of Trust encumbered the Preserve Property, it made no reference to the Development Agreement or the TDRs that had been transferred to the Preserve at Mapleton by Suburban Land Reserve. Exhibit 13; Exhibit 14.

24. The Deed of Trust gave LD III the right to appear in or defend any action that could affect the Preserve Property. Exhibit 14 at 2, ¶ 4.

25. Mapleton City and the Preserve at Mapleton entered into a "Memorandum of Understanding" ("MOU") on January 10, 2007, which "Memorandum set[] forth the understanding of The Preserve at Mapleton Development Company, LLC … and Mapleton City with regard to the final approval" of the Preserve at Mapleton's subdivision plats. Exhibit 2.

26. The MOU stated that "[e]verything in this Memorandum shall be in harmony with the development agreement" and noted that The Preserve at Mapleton "is the authorized assignee" of "that certain Development Agreement dated May 7, 2003 between Mapleton City and Suburban Land Reserve, Inc." Exhibit 2, Introduction & ¶ 2.

27. As described in the Mapleton City Code and a Mapleton City staff report dated August 7, 2007, a "PRC zone requires a zone text for each proposed subdivision." Exhibit 12, at 2 ¶ 2; MCC § 18.82.030. Paragraph 5 of the MOU states that "Developer shall submit the Zoning Text for the PRC-4 zone." Exhibit 2 ¶ 5.

28. The zoning text submitted by the Preserve at Mapleton for the PRC zone was

adopted by the Mapleton City Council on August 21, 2007. Exhibit 10 at 3–4; Exhibit 11; Exhibit 12 at 1–2 & Attachment 2. This zoning text included a provision regarding maximum allowed density: "The total density allowed in the Preserve at Mapleton PRC zone is 92 individual building lots and Common area Buildings. No new subdivision lots shall be permitted beyond those originally approved for the purpose of increasing this density." Exhibit 11 at 5 (18.82D.110). This provision remains part of the PRC-4 zone today. MCC § 18.82D.110.

29. The Preserve at Mapleton defaulted on the Trust Deed Note on July 26, 2008, and the Preserve Property was consequently sold at a trustee's sale held on November 7, 2008. Exhibit 21, Trustee's Notice of Default; Exhibit 22, Trustee's Deed.

30. LD III purchased The Preserve Property at the trustee's sale and a Trustee's Deed was executed and recorded on December 23, 2008. Exhibit 22.

31. Of the 67 TDRs transferred to The Preserve at Mapleton Development Company from Suburban Land Reserve in 2006, 55 were transferred to unrelated entities to develop properties other than the Preserve Property between 2006 and 2017, with the remaining 12 TDRs retained by the Preserve at Mapleton Development Company. Exhibit 3 ¶ 19.

32. No TDRs resulting from the original Development Agreement were transferred to or acquired by LD III. Exhibit 3 ¶ 19. This issue was raised in separate litigation between LD III and the Preserve at Mapleton, wherein Judge Samuel McVey concluded that the TDRs were "not subject to the … trust deed and security agreement" and "[a]ccordingly, none of the Plaintiffs have an interest in the TDRs." Exhibit 23, Order in Case No. 090403844, at 3.

33. Neither LD III nor the Preserve at Mapleton requested or received approval from Mapleton City in connection with the execution of the Trust Deed Note and Deed of Trust or the

subsequent transfer of the Preserve Property from the Preserve at Mapleton to LD III through the trustee's sale and deed. Neither LD III nor the Preserve at Mapleton entered into an agreement with the City regarding the promissory note, deed of trust, trustee's sale and deed, or the rights of the owner of the Preserve Property. Exhibit 3 ¶ 8.

34. On or about January 13, 2017, nearly a decade after acquiring the Preserve Property from the Preserve at Mapleton, LD III entered into a Real Estate Purchase Contract to sell the Preserve Property to Balton Development, led by Mr. Andy Ball ("Balton Development"). Complaint ¶ 23; Answer ¶ 23; Exhibit 15, at 3.

35. Balton Development approached Mapleton City with a development plan for The Preserve Property in April and May of 2017 that required the use of TDRs and therefore the rezoning of the Preserve Property to allow for the use of TDRs. Exhibit 15, at 1, 3–4.

36. On June 7, 2017, the Mapleton City Council approved Balton Development's request to designate the Preserve Property as a TDR receiving site. Exhibit 24, CC Meeting Minutes 6/7/17, at 2–3.

37. The re-designation of the Preserve Property as a TDR receiving site was subsequently reversed through a referendum vote. Complaint ¶¶ 27–30; Answer ¶¶ 27–30.

38. Mapleton City's official zoning maps from 2003 and June 20, 2006, show that the Preserve Property was designated A-2 (TDR-R).. The zoning maps from May 7, 2007, August 29, 2008, March 21, 2012, and February 2, 2017, show the Preserve Property zoned as PRC-4 with no TDR overlay. Exhibit 3 ¶¶ 23–25 & Exhibit B.

ARGUMENT

Pursuant to rule 56 of the Utah Rules of Civil Procedure, summary judgment shall be

granted "if the moving party shows that there is no genuine dispute as to any material fact and the moving party is entitled to judgment as a matter of law." In the present case, while the Parties were unable to stipulate to the relevant material facts, the facts are undisputed. This leaves only legal issues to be decided by the Court. LD III has already moved for summary judgment. Because the City's response to LD III's motion requires it to address the same issues that underlie the City's own motion for summary judgment, the City has attempted to reduce redundancy and conserve resources by combining its opposition and its motion.[1]

LD III makes two primary claims: (1) the TDR-R zone overlay that the City applied to the property pursuant in 2003 is still in effect today despite the intervening rezoning of the property; and (2) the Development Agreement between Suburban Land Reserve and Mapleton City from 2003 gives LD III a vested right to develop up to 136 lots despite LD III never being approved as an assignee. In making these arguments, LD III provides no real legal reasoning or explanation for its position aside from two citations to Black's Law Dictionary and a reference to the Utah statute of frauds. The factual basis for its claims is likewise infirm, as it has downplayed or outright omitted the relevant portions of the Development Agreement, the effect of the rezoning to PRC-4, and its own decade-long acquiescence to the status quo. LD III's claims are procedurally barred and substantively baseless. Accordingly, the City asks that the Court deny LD III's motion for summary judgment and grant the City's motion.

I. The Preserve Property Does Not Have a TDR-R Zoning

One of LD III's primary assertions is that the TDR-R zoning overlay that the City applied

[1] Under rule 7 of the Utah Rules of Civil Procedure, the City is allowed 25 pages for its motion and 25 pages for its opposition, for a total of 50 pages. This combined motion is 38 pages.

to the Preserve Property survived the rezoning of the property in 2006/2007, despite the fact that the zoning that was applied limited the allowable density such that TDRs could not have been used and the City removed the TDR-R zoning overlay on the City's official zoning map. Below, the City explains why LD III's claims fail procedurally and substantively.

A. LD III's Claims are Procedurally Barred Because It Failed to Timely Assert Them

The Municipal Land Use, Development, and Management Act ("MLUDMA") authorizes municipalities to create and enforce land use regulations regarding "the erection, construction, reconstruction, alteration, repair, or use of buildings and structures, and the use of land." UTAH CODE § 10-9a-505(1). These regulations may take the form of ordinances, rules, and maps—including zoning maps. *Id.* § 10-9a-103(29), (63). The Mapleton City Code specifies that the City's zoning ordinances are to be memorialized in an official zone map. MCC §§ 18.08.290, 18.24.020. "The location and boundaries of each of the zones shall be as set forth on the official zone map, … [and] [t]he official zone map and all notations, references and other information shown thereon shall be as much a part of [the City Code] as if the boundary lines and other references and information set forth thereon were fully described in this chapter." MCC § 18.24.020(A). The official zone map may be amended only by following the procedures set forth in the City Code and MLUDMA. MCC §§ 18.12.010, 18.12.020; UTAH CODE § 10-9a-205.

Because the imposition of zoning regulations and the creation and amendment of the official zone map are land use regulations, challenges to the City's decisions regarding those land use regulations is governed by the procedures set forth in MLUDMA. MLUDMA provides that "a challenge to a land use decision" and "a challenge to the enactment of a land use regulation or general plan may not be filed with the district court more than 30 days after" the

decision or enactment. UTAH CODE § 10-9a-801. Compliance with this requirement is jurisdictional. *See Gillmore v. Summit County*, 2010 UT 69, ¶¶ 17, 24, 246 P.3d 102. In the present case, LD III claims that the Preserve Property did not need to be rezoned in order to use TDRs, and that the City's decision that the Property no longer had a TDR-R overlay zone and needed to be rezoned were therefore improper. This is a challenge to a land use decision or regulation, because it challenges the City's repeated decision to treat the Preserve Property as having lost its TDR-R zoning overlay.

This decision was made when the City departed from the 2006 zoning—A-2 (TDR)—by rezoning the property to PRC-4 on May 17, 2006, updating the official zone map in 2007 to designate the Preserve Property as zoned merely as PRC-4 without the TDR-R overlay, and adopting a zoning text for the PRC-4 zone that restricted the density allowed on the Preserve Property to 92 units. The City code requires an application for a zoning change to designate "the specific zone change or title amendment desired." MCC § 18.12.010(A). The application for the rezone that the City granted requested only PRC-4, not PRC-4 (TDR-R). The City confirmed the removal of the TDR-R overlay zone by updating its official zoning maps to remove that status. Because the City Code specifies that all information contained on the City's official zone map is "as much a part of [the City Code] as if the boundary lines and other references and information set forth thereon were fully described," it is clear that the City treated the 2006 application for a rezone as request to remove the TDR-R overlay. And by rezoning to PRC-4 and thereby restricting density to 92 units, the City was justified in treating the TDR-R as being revoked because whether TDRs were applied to the property or not, only 92 units could be constructed.

If the City erred in (1) treating the application to rezone the Preserve Property from A-2

to PRC-4 as a request to remove the TDR-R overlay, (2) revising the official zone map to show the Preserve Property zoned as PRC-4 without a TDR-R overlay zone from 2007 to the present day, or (3) adopting a zoning text for the PRC-4 zone that restricted density such that no TDRs could be used on it, then LD III was required challenge these actions in a petition for review within 30 days of those decisions—over a decade ago. Because LD III did not do so, its claim is now woefully untimely, and the City's actions are final.

Further, LD III was required to challenge the City's June 7, 2017, decision to grant Balton Development's request to rezone the Preserve Property with a TDR-R overlay. The City's position is that the Preserve Property has no TDR-R overlay, and it informed Balton Development that the property would need to be rezoned to re-establish that overlay. The City formally adopted this position on June 7, 2017, when it rezoned the Preserve Property to apply a TDR-R overlay zoning. LD III claims the City's decision was improper because the Preserve Property already had the TDR-R overlay. To challenge this decision, however, LD III needed to file a petition for review by July 7, 2017—30 days after the City's decision was made. The present action was filed on November 14, 2017. Accordingly, LD III's claim regarding the zoning of the Preserve Property is untimely and must be dismissed with prejudice.

B. The City's Actions Constitute an Implied Repeal of the TDR-R Overlay Zone

Regardless of the procedural hurdles to LD III's claim, the City's actions in 2006 and 2007 to rezone the Preserve Property from A-2 (TDR-R) to PRC-4, remove the TDR-R designation from the City's official zoning map, and adopt a specific PRC zoning text that limited density on the Preserve Property acted as a repeal of the previous TDR-R overlay zoning. "As a general proposition, implied repeals are not favored and are found only if there is a

manifest inconsistency or conflict between the earlier and later statutes." *Ellis v. Utah State Retirement Bd.*, 757 P.2d 882, 884 (Utah Ct. App. 1988). However, "[w]here a conflict is readily seen by an application of the later enactment in accord with [the legislative] intent, it is clear that the later enactment is intended to supersede the existing law." *Id.* at 885 (citation omitted). In the present case, all of the evidence shows that the City intended to remove the TDR-R overlay zone from the Preserve Property and in fact adopted zoning restrictions on the Preserve Property that specifically prevent the use of TDRs on the property.

In May 2006, the City Council adopted an ordinance "changing the zone designation for [the Preserve Property] from the A2 to the PRC-4 zone designation." This ordinance was adopted pursuant to an application that only sought a PRC-4 zoning, not a PRC-4 (TDR) zoning. *See* MCC § 18.12.010(A). Subsequent actions by the City confirm that this rezoning repealed the previous application of the TDR-R overlay zone. The following year, in May 2007, the City updated its official zoning map to designate the Preserve Property as PRC-4 with no TDR-R zone. Information contained in the zoning map is "as much a part of [the City Code] as if the boundary lines and other references and information set forth thereon were fully described" therein. MCC § 18.24.020(A). Further, the City's TDR ordinance requires "[e]ach receiving site to which a development right is transferred [to] be denominated on the official zoning map by using the suffix 'TDR-R' in combination with the underlying zoning designation." MCC § 18.76.045. By removing the TDR-R designation of the Preserve Property from the official zoning map, the City removed the TDR-R zoning from the property and repealed the prior zoning designation. Each of the subsequent zone maps adopted in 2008, 2012, and 2017 continued to show the Preserve Property zoned without a TDR-R overlay, without any challenge

or complaint by LD III. That zoning can only be added again by following the procedures set forth in the City Code and MLUDMA, which the City council tried to do in 2017. Because that effort was undone through referendum, the Preserve Property remains zoned as PRC-4, with no TDR-R overlay zoning.

In addition, the City adopted a specific zoning text in August 2007 governing the Preserve Property's PRC-4 zone. Each PRC zone is given a unique text based on general guidelines contained in the Mapleton City Code. MCC 18.82.030. While the guidelines state that "TDRs may be used to increase the overall density" of a project, up to "double of the established density in the original general plan designation," the final adopted zoning text must "indicate the total density of the project" and state that "no new subdivision lots shall be permitted beyond that which was originally approved, for the purpose of increasing the density." MCC §§ 18.82.070(B), 18.82.030(K). The base density permitted in A-2 and PRC zones is 2 acres per lot, with a potential increase to 1 acre per lot with TDRs. The zoning text submitted by the Preserve at Mapleton and adopted by the City provides that the PRC-4 zone applies to a "two hundred forty (240) acre[s]," and restricts the density allowed on that property to "ninety two (92) individual building lots"—a density of approximately 2.6 acres per lot. MCC §§ 18.82.005, 18.82.110. The zoning text specifically states that "[n]o new subdivision lots shall be permitted beyond those originally approved for the purpose of increasing this density."

By adopting that specific PRC-4 zoning text—text that was proposed and submitted by the then-owner of the property—the City impliedly repealed the previous TDR-R designation. Because of the size of the property, no TDRs were necessary to achieve the maximum allowed density of 92 total units. The density of the planned development would be greater than 2 acres

per lot, the minimum allowed in the PRC-4 zone. The PRC-4 zoning text also specifically forbad the inclusion of any additional subdivision lots or any increase in density—as would happen if TDRs were used on the property. Thus, no TDRs were necessary to develop the Preserve Property as intended by the Preserve at Mapleton, and no TDRs were or are allowed to be used to increase the density of the development under the PRC-4 zone. The PRC-4 zoning text therefore contradicted and repudiated the prior application of the TDR-R overlay because it specifically limited the allowed density of the development to an amount permitted without the use of TDRs. In the end, the PRC-4 zoning text, the official zone maps, and the City's other actions contradicted and repealed the continued application of the TDR-R zone.

C. The Statute of Frauds Does Not Bar the City's Actions

LD III's final claim regarding zoning is that any removal of the TDR-R zoning did not comply with the statute of frauds. LD III asserts that the TDR-R overlay zone was a property interest that could only be transferred or removed by a written document signed by the appropriate party. In the first place, the zoning of a property is generally not considered a property interest: "[A] property owner has no vested right to 'continuity of zoning.' … A person who purchases land in reliance upon its current zoning restrictions acquires no right that the restrictions remain the same." *Smith Inv. Co. v. Sandy City*, 958 P.2d 245, 258 n. 19 (Utah Ct. App. 1998); *see also Keith v. Mt. Resorts Dev., LLC*, 2014 UT 32, ¶ 31 337 P.3d 213 ("A development approval does not create independent free-floating vested property rights."). As such, the statute of frauds is inapplicable.

Regardless, LD III has overlooked the fact that the City's actions in changing the zoning of the Preserve Property were based on a signed, written document: the Preserve at Mapleton's

rezoning application. This document satisfies the statute of frauds because it is in writing, it is signed by the agent of the owner of the property, and it specifically requests the actions that the City took. Exhibit 7. As such, the City was authorized to make changes in conformity with that application, and the statute of frauds does not apply in the present case.

II. LD III Cannot Claim the Benefits of the 2003 Development Agreement

LD III also claims that its acquisition of the Preserve Property from the Preserve at Mapleton through foreclosure conferred on it not only the Preserve at Mapleton's property rights, but also its contractual rights. In particular, LD III seeks to claim the right found in the 2003 Development Agreement between the City and Suburban Land Reserve to develop up to 136 lots on the Preserve Property. However, as discussed below, LD III is barred from asserting any such rights at this point in time and, regardless, has no right to any of the contractual benefits of the 2003 Development Agreement anyway. Further, even if LD III could claim the benefits of the Development Agreement, it would be in breach of that Agreement for failing to take any action for the past decade to fulfill its obligations thereunder.

A. LD III Is Barred From Enforcing Any Contractual Benefits

The City's position is that LD III has no legal claim to any of the rights of the Development Agreement. Regardless, LD III is barred from even attempting to assert such rights because (1) the statute of limitations has run on any contract claim and (2) LD III is estopped from asserting any claim to a particular zoning given its acquiescence to the City's actions.

1. Statute of limitations

Utah Code 78B-2-309 provides for a six-year statute of limitations for any claim based on a written contract. LD III claims a contractual right to zoning that allows for at least 136 units. If

the City violated LD III's contractual rights to a particular zoning or to use TDRs, these breaches would have occurred when the City rezoned the Property from A-2 (TDR-R) to PRC-4, adopted a zoning text for the PRC-4 zone that limited the density on the Preserve Property to 92 units, and amended the official zone map to remove the TDR-R overlay from the Preserve. All of these events occurred in 2006 or 2007. Any contractual claim against the City should have therefore been brought by 2013 at the latest. LD III acquired title to the Preserve Property in 2008, giving it plenty of time to assert any claims regarding the Development Agreement or the Preserve Property. Yet LD III waited until the end of 2017 to assert its contractual claims. The statute of limitations has run on those claims, and LD III is barred from asserting them at this point.

2. Estoppel

Even if LD III's claims regarding the Development Agreement were not barred by the statute of limitations, it should be estopped from claiming that the City has wrongfully denied its rights to a particular density.

> Estoppel is an equitable doctrine which precludes parties from asserting their rights where their actions render it inequitable to allow them to assert those rights. Estoppel requires proof of three elements: (1) a statement, admission, act, or failure to act by one party inconsistent with a later-asserted claim; (2) the other party's reasonable action or inaction based upon the first party's statement, admission, act, or failure to act; and (3) injury to the second party that would result from allowing the first party to contradict or repudiate its statement, admission, act, or failure to act.

Burrow v. Vrontikis, 788 P.2d 1046, 1048 (Utah Ct. App. 1990) (citation omitted). A party's failure to "make any request or to take any action" regarding a particular right for many years, coupled with affirmative statements that the party would not seek to enforce that right gives rise to a claim for estoppel. *Id.*

Inconsistent Act: LD III should be estopped from asserting a contractual right to a particular density and zoning for the Preserve Property because (1) its predecessor-in-interest, the Preserve at Mapleton, specifically and affirmatively requested that the City change the zoning and allowed density to the current status, and (2) LD III failed to take any action, request any changes, or raise any objection to the City's decision to grant the Preserve at Mapleton's request, despite having every right to do so.

The Preserve at Mapleton worked with the City Council throughout December 2005 and August 2007 to rezone the Preserve Property to PRC-4. The Preserve at Mapleton requested the rezoning throughout 2005 and 2006. In January 2007, the Preserve at Mapleton executed a Memorandum of Understanding with the City that contemplated a rezoning of the Preserve Property to PRC-4. Then the Preserve at Mapleton submitted the PRC-4 zoning text—which restricts the density allowed on the Preserve Property to 92 units—to the City Council in August 2007 and requested that it be adopted. By so doing, the Preserve at Mapleton waived its contractual rights to have up to 136 lots on the Preserve Property. Throughout all of this, LD III took no action. LD III had the right, pursuant to the Trust Deed Note and Trust Deed to "appear in or defend" "any action or proceeding purporting to affect the security [of the deed], the title to said property, or the rights or powers of" LD III. Exhibit 14 ¶ 4. It chose not to do so. It was not until a decade later that LD III finally raised an issue regarding the zoning of the Preserve Property. LD III's long acquiescence to its predecessor-in-interest's decision to waive its rights under the Development Agreement and ask that the City restrict the density allowed on the Preserve Property is "a statement, admission, act, or failure to act" that is inconsistent with LD III's current claims.

Reasonable reliance: There can be no doubt that the City's actions in reliance on the Preserve at Mapleton's various requests and applications were reasonable. The Preserve at Mapleton was the owner of the Preserve Property and the authorized assignee of the Development Agreement. Accordingly, the Preserve at Mapleton had every right to waive its contractual rights and request that the City rezone the Preserve Property and restrict the allowable density. LD III raised no objection during the various public hearings and meetings regarding the Preserve Property in 2006–2007 and continued its silence until 2017. The City had no reason to deny the Preserve at Mapleton's requests. Accordingly, the City reasonably relied on the Preserve at Mapleton's express requests and LD III's continued acquiescence.

Injury: Finally, if LD III is not estopped from asserting a contractual right to a particular density and zoning for the Preserve Property, the City faces a significant and serious risk of liability. A decision that LD III may enforce the terms of the Development Agreement would likely have res judicata effect on the City. Although the City Council attempted to rezone the Preserve Property to allow for the use of TDRs in 2017, that effort was overturned by a referendum vote by the City's citizens. If it is determined that the City is contractually obligated to rezone the Preserve Property back to the equivalent of A-2 (TDR-R), then the referendum vote overturning the City Council's decision could be construed as a violation of the Development Agreement resulting in damages to LD III. Thus, while LD III has not yet asserted any claims for damages, it very well may do so if the current action is resolved in its favor\. In short, the City faces a serious and significant threat of liability due to LD III's acquiescence to its predecessor-in-interest's actions regarding the Preserve Property. LD III cannot be permitted to sit by for a decade before claiming that it had rights that the City was infringing. LD III should accordingly

be estopped from asserting that it is contractually entitled to any particular density or zoning.

B. LD III Has No Rights Under the Development Agreement

LD III's central claim is that by acquiring the Preserve Property through a foreclosure sale, it became a successor to or assignee of all of the rights and benefits of the 2003 Development Agreement between Suburban Land Reserve and the City. This claim fails because Utah law is clear that the acquisition of property does not, in and of itself, make that party a successor to or assignee of all agreements related to that property. The mere fact that Suburban Land Reserve and the Preserve at Mapleton may have had a vested contractual right to a particular density does not mean that those rights passed to LD III simply because LD III bought the property at foreclosure. Instead, there must be an agreement expressly assigning those rights to LD III or the contractual rights must "run with the land." Because neither of these circumstances is present here, LD III's contractual claims fail.

1. Utah Law Regarding the Transfer of Contract Rights in Property

A party's acquisition of property that is the subject of an agreement does not, in and of itself, make that party a successor or assignee of the agreement. For example, in *West v. Case*, 2006 UT App 325, 142 P.3d 576, Ms. Case became the trustee of a trust containing certain real estate after her mother, Lamar West, died. *Id.* ¶¶ 2–4. Ms. Case was sued by the Wests, who sought title to the property and attorney fees pursuant to an agreement between them and Lamar West. *Id.* ¶ 5–6. While the Utah Court of Appeals agreed that Ms. Case and the Trust had an *in rem* obligation to transfer the property to the Wests, it reversed the district court's award of attorney fees, concluding that Ms. Case was not an assignee or successor to the Lamar West agreement and therefore could not be liable under that agreement. *Id.* ¶¶ 18, 21. The court noted

that "there was no formal assignment of the Agreement from Lamar West to Case or to the Trust, and no assumption of the liabilities of the Agreement by the Trust or Case individually. *Id.* ¶ 19. Although Ms. Case obtained ownership of the property via quit-claim deed, "a quit-claim grantee merely becomes a successor to the grantor's property interest," not to any agreements concerning that property *Id.* ¶ 20. "Accordingly, although Case had an in rem obligation to transfer the Property to the Wests, we determine that neither Case nor the Trust became bound by any other terms of the Agreement merely because they took ownership of the Property." *Id.* ¶ 21.

Likewise, in *Hansen v. Green River Group*, 748 P.2d 1102 (Utah Ct. App. 1988), vendors of certain real property, the Hansens, sought to enforce the terms of a real estate purchase contract they had executed with Synvest Corporation ("Synvest"), by collecting payment from a third party, the Green River Group ("Group"), which had entered into a separate real estate purchase agreement regarding the same property with Synvest. *Id.* at 1103–04. The Court of Appeals rejected the Hansens' claim because Group was not an assignee or successor to the Hansen-Synvest contract. While the Synvest-Group contract contained language wherein Group "agrees to abide and be bound by the conditions that appear in all underlying contract [sic]," it contained neither any reference to the Hansen-Synvest contract nor "the usual words of either an assumption or an assignment, such as 'assumes,' 'agrees to pay,' 'assigns,' 'transfers' or 'conveys.'" *Id.* at 1104. Instead, the Synvest-Group contract was simply "a subpurchase by a subpurchaser by means of a subcontract. A subcontract by the purchaser, Synvest, to sell to Group under an executory land contract is not an assignment, but a separate, independent contract between them. The subpurchase creates between the original vendor (Hansens) and subpurchaser (Group) privity of estate, but does not, in the absence of agreement, create privity

of contract between them." *Id.* at 1104 n.2. The court noted that if the Synvest-Group agreement was intended to be an assignment to Group of the Hansen-Synvest agreement, that intention "should have and could have been stated in the [Synvest-Group] contract with specificity." *Id.* at 1104. Without such a clear assignment agreement between Synvest and Group, the Synvest-Group contract "was not an assumption by Group of the obligation to make Synvest's payments to the Hansens or an assignment by Synvest of the Hansen-Synvest contract." *Id.*

Finally, in *Oquirrh Associates v. First National Leasing Co.*, 888 P.2d 659 (Utah Ct. App. 1994), Oquirrh Associates ("Oquirrh") sought to enforce the terms of a real estate purchase contract it had reached with one party, the Loiselles, against a different entity, Forthcoming Investments ("Forthcoming"), which had acquired the Loiselles' interest in the property. *Id.* at 661–62. The basis for Oquirrh's claim was that its agreement with the Loiselles provided that "the stipulations aforesaid are to apply to and bind the heirs, executors, administrators, successors and assigns of the respective parties hereto, and the benefits hereunder shall inure to the Buyer [the Loiselles] or its assignees." *Id.* at 663. Oquirrh asserted that the quitclaim deed executed by the Loiselles in favor of Forthcoming made Forthcoming "a direct 'successor' of the Loiselles in accordance with the terms of the Oquirrh-Loiselle contract and thus ... contractually bound to the terms of that agreement." *Id.* The court rejected this claim, holding that the language "referring to 'heirs, executors, administrators, successors and assigns' of the parties can only refer to those who succeed to one party's interest in the contract through inheritance, assignment, or the like." *Id.* And something more than a quit-claim deed is required to become an assignee to contract rights: "Forthcoming merely became a successor to the Loiselles' property interest, but, absent agreement to the contrary, the Loiselles retained their contractual

rights and obligations." *Id.*

The principle of these cases is uniform and unmistakable: becoming a successor to a party's property interests does not, by itself, make one a successor or assign to any agreements entered into by that party regarding the property. In the present case, the mere fact that LD III obtained the Preserve at Mapleton's *property rights* through foreclosure does not necessarily mean that LD III obtained any of the Preserve at Mapleton's *contractual rights*. There would need to either be an assignment agreement between the Preserve at Mapleton and LD III specifically assigning the Preserve at Mapleton's contractual rights to LD III or the contractual rights must "run with the land." As discussed below, however, neither situation is present here.

2. LD III Is Not an Assignee or Successor to the Development Agreement or Memorandum of Understanding

Applying the principles discussed above, it is clear that LD III is not a successor or assignee of the Development Agreement. Although the Development Agreement contains language stating that it is binding on "successors and assigns," such language "can only refer to those who succeed to one party's interest **in the contract through inheritance, assignment, or the like**." *Oquirrh Associates*, 888 P.2d at 663 (emphasis added). Thus, merely obtaining ownership of the Preserve Property is insufficient to obtain the rights of all agreements related to the Preserve Property. Instead, those contractual rights must be expressly assigned to LD III.

The Trust Deed Note between LD III and the Preserve at Mapleton contains no reference to the Development Agreement or Memorandum of Understanding and contains no language purporting to assign, transfer, or convey any contractual rights that the Preserve at Mapleton had in the Preserve Property to LD III. Exhibit 13. And the trust deed itself did not purport to convey

any contractual rights to LD III and contains no reference to the Development Agreement or the Memorandum of Understanding. The only assignment contained in the Trust Deed was an assignment to LD III of "all rents, issues, royalties, and profits of the property affected by [the] trust Deed," and the grant of a security interest in the Preserve Property and "all buildings, fixture and improvements thereon and all water rights, rights of way, easements, rents, issues, profits, income, tenements, hereditaments, privileges and appurtenances thereon." Exhibit 14.

Likewise, the Trustee's Deed conveying the Preserve Property to LD III conveyed "without any covenant or warranty, express or implied, all of that certain Property situated in Utah County, State of Utah, described in Exhibit 'A' attached hereto and incorporated herein, together with all buildings, fixtures and improvements thereon and all water rights, rights of way, easements, rents, issues, profits, income, tenements, hereditaments, privileges and appurtenances belonging to said Property." Exhibit 22, at 2. There is nothing referencing the Development Agreement. Just as with the deeds in *West* and *Oquirrh Associates*, without an express assignment agreement, the recipient of such a deed is successor only to the grantor's property interest, not to any related contracts. *West*, 2006 UT App 325, ¶ 20 ("[N]either Case nor the Trust became bound by any other terms of the Agreement merely because they took ownership of the Property."); *Oquirrh Assocs.*, 888 P.2d at 663 ("Forthcoming merely became successor to the Loiselles' property interest, but, absent agreement to the contrary, the Loiselles retained their contractual rights and obligations."). None of these documents make any reference to the Preserve at Mapleton's contractual rights. Accordingly, they could not and did not assign the Development Agreement to LD III.

Further, even if those documents could be construed as an assignment despite their lack

of any language even hinting at such a transaction, the assignment would be invalid because the City did not give its approval. The Development Agreement states in paragraph 10:

> Assignment of Agreement. ... In the event that Owner intends to sell the Property or any portion thereof to any other party, Owner shall advise City of such intention. **Only upon the express prior written approval by the City, shall any rights of Owner with respect to the portion of the Property being sold be deemed transferred to the new owner thereof.** City may withhold such approval in the exercise of its reasonable business judgment, based upon conditions that exist at the time of the transfer, the proposed transferee and the history of the development of the Project prior to such time.

Exhibit 1 ¶ 10 (emphasis added). Thus while paragraph 19 of the Development Agreement states that "[t]his Agreement shall be binding on the successors and assigns of Owner," paragraph 10 explains that no person may become a successor or assign unless the City gives its "express prior written approval." Indeed, paragraph 19 reinforces this conclusion, as it provides that the developer's obligations in the Development Agreement are transferred only to "an approved purchaser of the Project" through "an approved sale or transfer of the Project." Exhibit 1, ¶ 19. The City's approval of any assignment is therefore vital to any purported transfer or assignment of the Development Agreement's rights and obligations. LD III did not get that approval.

It is worthwhile to contrast how the Preserve at Mapleton acquired the Preserve Property and how LD III acquired that same property. Suburban Land Reserve and the Preserve at Mapleton clearly intended to assign the Development Agreement to the Preserve at Mapleton and made that intent abundantly evident: (1) Suburban Land Reserve and Craig Thueson/the Preserve at Mapleton specifically sought the City's approval, (2) the purchase agreement between Suburban Land Reserve and Craig Thueson was conditioned on obtaining the City's approval, (3) the City considered the assignment during an open and public meeting of the City

Council, (4) the City Council held a vote on whether to approve the assignment, (5) the City Council adopted a resolution specifically authorizing the assignment and finding that the assignment would be "in the best interests of the City and its citizens," and (6) the City executed a Memorandum of Understanding with the Preserve at Mapleton confirming and ratifying the assignment of the Development Agreement to the Preserve at Mapleton.

None of these steps were followed with LD III. At no point has LD III or the Preserve at Mapleton sought the City's approval in transferring the Preserve Property or the Development Agreement to LD III. The Trust Deed Note and Trust Deed executed by the Preserve at Mapleton and LD III were not conditioned on the City's approval and make no reference to the City or the Development Agreement. LD III purchased the Preserve Property at a public auction conducted after the Preserve at Mapleton defaulted on a promissory note, rather than a voluntary assignment of rights. The City neither took part in nor approved of the execution of the promissory note, the foreclosure procedures, or the ultimate transfer of the Preserve Property to LD III through the trustee's deed. There is no agreement between the City and LD III. In short, LD III obtained the Preserve Property without having the Preserve at Mapleton assign its contract rights to LD III and without involving the City in any way. LD III cannot claim the rights of a contract to which it was never a party and never approved as an assignee.

3. The Covenants of the Development Agreement Do Not Run With the Land

Because LD III was never a valid assignee of the Development Agreement, the only way it may claim the benefits of that Agreement—in particular the "vested right" to develop up to 136 lots—is if those benefits "run with the land." As the Utah Supreme Court explained:

A covenant that "runs with the land" binds successive owners of the burdened or

> benefited land. The rights and duties of a personal covenant, by contrast, terminate when a covenanting party conveys the property to a subsequent owner. A successor-owner claiming the benefit of a predecessor-owner's covenant must demonstrate that the covenant meets [four] requirements: (1) the covenant must touch and concern the land affected by the covenant, (2) the original parties to the covenant must have expressly or impliedly intended the covenant to run with the land, (3) there must be privity of estate, and (4) the covenant "must be in writing."

Stern v. Metro. Water Dist., 2012 UT 16, ¶ 40, 274 P.3d 935. There are two issues in this case: first, because the development agreement was never recorded, it cannot create covenants that run with the land. Second, the parties to the original Development Agreement never intended to have the covenants of the Development Agreement run with the land to unrelated third parties.

In order for a covenant to run with the land, it must be recorded. *Flying Diamond Oil Corp. v. Newton Sheep Co.*, 776 P.3d 618, 628 (Utah 1989); *Shunk v. Palm Beach Cnty.*, 420 So. 2d 394, 395 (Fla. App. 1982) ("[T]he weight of authority seems to be that the owner of land is bound by restrictive covenants only if they appear in his own chain of title."). Recording is necessary because of Utah's recording statute, which provides, "Each document not recorded as provided in this title is void as against any subsequent purchaser of the same real property, or any portion of it, if the subsequent purchaser purchased the property in good faith and for a valuable consideration; and the subsequent purchaser's document is first duly recorded." UTAH CODE §57-3-103. "A contract or deed that is void cannot be ratified or accepted, and anyone can attack its validity in court." *Ockey v. Lehmer*, 2008 UT 37, ¶ 18, 189 P.3d 51.

The Development Agreement was never recorded. The only recorded reference to the Development Agreement is found in the 2007 Memorandum of Understanding between the City and the Preserve at Mapleton, which was not recorded until September 2008. But LD III acquired its property interest in the Preserve—the Trust Deed—in December 2006, long before

any reference to the Development Agreement was recorded. And LD III recorded its interest first by recording the Trust Deed in April 2008, before the City recorded anything with regard to the Preserve Property in September 2008. As such, the Development Agreement is void as to LD III because LD III took its interest in the property in good faith and recorded that interest prior to any recorded document regarding the Development Agreement. Thus, the Development Agreement is void as to LD III and does not run with the land.

The second reason why the Development Agreement's covenants do not run with the land is because the parties to that agreement—Suburban Land Reserve and the City—did not intend for them to do so. When interpreting the parties' intent regarding whether the benefit of a particular contract runs with the land or merely "creates a personal benefit that only extends to those who qualify as members of the identified group," the Court must use the usual tools of contract interpretation. *Gillmor v. Macey*, 2005 UT App 351, ¶¶ 16, 19, 121 P.3d 57. In particular, "a contract should be interpreted so as to harmonize all of its provisions and all of its terms, which terms should be given effect if it is possible to do so." *Id.* ¶ 19 (citation omitted). In *Gillmore*, the Utah Court of Appeals was called on to decide whether an agreement's grant of an easement "for access by Gillmor and his immediate family to the first degree of consanguinity" created a benefit that ran with the land or was personal to Mr. Gillmor and his immediate family. *Id.* ¶ 15. The court noted that, "While the Agreement states, in several places, that the grants and limitations in the Agreement are appurtenant to the land and run with the land to future successors in interest, the Agreement also details a specific and limited class of individuals who are to be benefitted by this specific grant of vehicular access." *Id.* ¶ 17. The court held that the agreement's specification of a class of persons to be benefited by the agreement "undermines any

notion that this benefit is somehow intended to run with the land to the benefit of all future owners of the Gillmore property." *Id.* ¶ 17. Accordingly, the agreement's benefits were therefore "personal to Gillmor and the identified small class of his family members." *Id.* ¶¶ 17, 19.

A similar situation is presented here. LD III points to paragraph 21 of the Development Agreement, which states in part, "this Agreement or a memorandum providing public notice of the existence of this Agreement shall be recorded immediately as a covenant running with the Property herein described in order to put prospective purchasers or other interested parties on notice as to the terms and provisions hereof." The first problem with this argument is that the Development Agreement was never recorded. Regardless, the intent of paragraph 21 is clarified by paragraph 10, which provides that "Owner's [Suburban Land Reserve's] rights under this Agreement **shall be personal to Owner** and **shall only run with the land so long as** Owner or a company which is affiliated with or under common ownership and control of Owner shall own and be the Owner of the Property." (emphasis added). Thus, just as in *Gillmor*, while one section of the Development Agreement suggests in a general manner that the Agreement was to run with the land, another, more specific section identifies a particular class of people that may benefit from the Agreement. It is the more specific provision that controls. Reading these paragraphs together, it is clear that the City and Suburban Land Reserve intended for the benefits of the Development Agreement to run with the land only in limited circumstances where the owner of the Preserve Property remained affiliated with Suburban Land Reserve. There is no allegation or evidence suggesting that either the Preserve at Mapleton or LD III was or is "affiliated with or under common ownership and control" of Suburban Land Reserve. LD III's claim that the Development Agreement runs with the land requires the Court to entirely ignore paragraph 10,

which specifically addresses whether and how the benefits of the Development Agreement may pass to future owners of the Preserve Property.

Accordingly, the rights granted to Suburban Land Reserve did not run with the land to the Preserve at Mapleton or LD III or anyone else, but rather were personal covenants of Suburban Land Reserve that could only be assigned as set forth in the Development Agreement. And because LD III was not and could not be a proper assignee of the Development Agreement, LD III has no claim or entitlement to any of the rights found in the Development Agreement.

4. LD III Would Be in Breach of the Development Agreement

Finally, the City would note that if LD III were somehow designated as an authorized successor to the Development Agreement, it still could not require the City to perform the covenants of the contract because it would be in breach of that agreement. "[U]nder the first breach rule a party first guilty of a substantial and material breach of contract cannot complain if the other party thereafter refuses to perform. He can neither insist on performance by the other party nor maintain an action against the other party for a subsequent failure to perform." *Cross v. Olsen*, 2013 UT App 135, ¶ 25, 303 P.3d 1030 (citation omitted). Paragraph 18 of the Development Agreement requires the developer of the property to begin construction of improvements or residences within 48 months of approval; otherwise "this Agreement shall expire and shall have no further force or effect." And paragraph 23 provides that time is "of the essence with respect to the duties imposed on the parties under this Agreement. Unless a time limit is specified for the performance of such duties each party shall commence and perform its duties in a diligent manner." It has been a decade and a half since this Agreement was executed. It has been just under 10 years since LD III acquired the Preserve Property. Between 2008 and

2017, LD III never attempted to claim the benefits of the Development Agreement or perform any of its supposed obligations thereunder. In no way can such an unreasonable delay be considered timely performance. As such, even if LD III was a successor to the Development Agreement, it has breached the agreement by sitting by for years without ever asserting any rights under the contract or attempting to perform any of the obligations thereunder. Accordingly, it cannot claim the benefits of the Development Agreement.

CONCLUSION

The City asks that the Court deny LD III's motion for summary judgment and grant the City's motion for summary judgment. LD III's claims are procedurally barred because it has waited nearly a decade before challenging any of the City's actions. It cannot sit by and acquiesce to the City actions regarding the Preserve Property and then, years later, claim that its rights have been impinged. Its claims fair no better substantively. The TDR-R overlay was repealed through the application of the PRC-4 zoning that expressly limits density on the Preserve Property and the adoption of official zoning maps that removed the TDR-R overlay. As to contractual rights, the Development Agreement is clear that only City-approved purchasers may acquire the benefits and obligations of that contract. LD III was never approved as an assignee, and it cannot claim the benefits of the Development Agreement under any other theory. Accordingly, the City is entitled to summary judgment on LD III's claims.

DATED this 16th day of March, 2018.

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CERTIFICATE OF SERVICE

I hereby certify that I served a copy of the foregoing Opposition to Motion for Summary Judgment and Motion for Summary Judgment through the Court's e-filing system this 16th day of March, 2018, to:

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